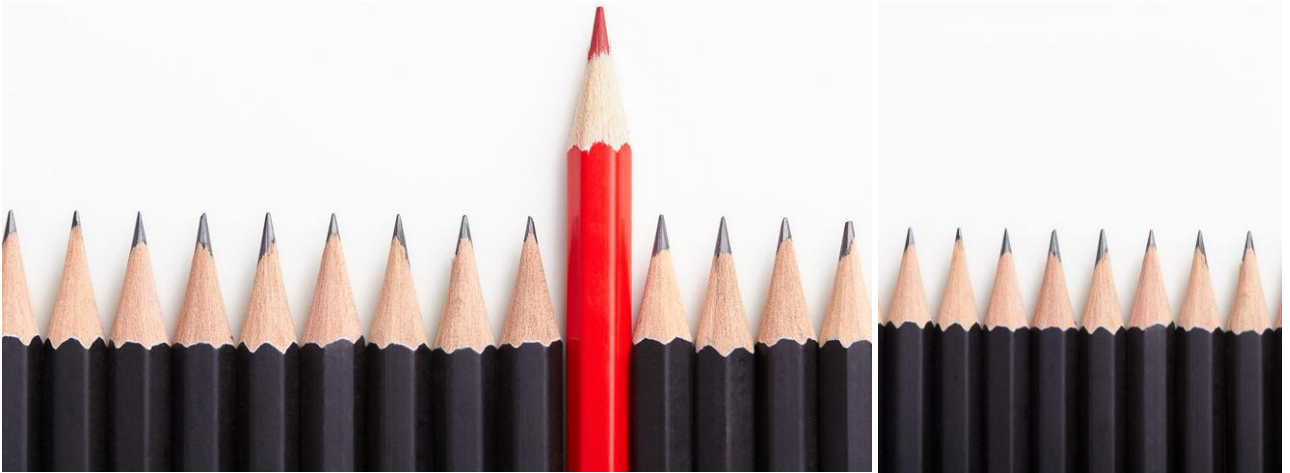




Telling Your Entrepreneurial Story and Pitching the Idea



1



Learning Outcomes

- After reading this chapter, you should be able to answer these questions:
 - Identify the importance of telling your own story
 - Examine the key Areas of a good pitch
 - Understand the various audiences an entrepreneur may pitch to and how the pitch goals vary for each
 - Create a strong pitch

Sharing Your Entrepreneurial Story



- <https://www.youtube.com/watch?v=-uWCAOehOo>
 - What is the story behind this organization?
 - How does the story inspire you as an-Investor? Donor? Member of the impacted community?
- ABC's Shark Tank - Lollacup - Best Straw Sippy Cup Made In USA
 - What is the story behind this organization?
 - Every pitch is preceded with what reality TV producers deem to be the more interesting narrative—the entrepreneur's story.

Sharing Your Entrepreneurial Story



- Prepare to tell your entrepreneurial story by applying the most universal story format: the fairy tale. Here is a template you can use:
- *Once upon a time, we had a problem. Then, we thought of the most ingenious solution. We worked really hard and built several versions of the solution until we found The One. This, the innovation you see before you, is The One. We arrived at it through great personal cost, but here it is, and you can own part of it, not just the innovation on the table beside us, but the idea. You can own a sizeable portion of this business and its potential future growth. All you have to do is trust us, and you can be part of the magic. We will deliver this innovation to millions and make their lives better. We'll grow rich together and make the world a richer place at the same time. Join us. Invest, and live happily ever after.*
- Once a company grows, its story grows. But the original stories of the founders still play a part. This bigger story is called a **corporate narrative**. A corporate narrative is not a fairy tale but relays how a successful company grew from something small, perhaps starting in a garage in California, into a powerful firm or corporation serving millions of people

The Advantages and Disadvantages of Using Stories



- The primary advantage of using stories in pitch development is that they are relatable. Stories are useful for transferring concepts with imagery told from a particular point of view.
- When making a pitch, it is best not only to convey the value proposition of your product but to convey the value in the way that a loyal, enthusiastic consumer of the product (a brand advocate) would see it.
- The downside to narrative-based customer development and marketing is that it can lead to a culture of manufactured need.
- Be realistic about your own entrepreneurial story. Entrepreneurs who focus too much on their own narrative might miss important market challenges or deep-seated problems with their design or key features.
- Keep it ethical.

Pitching



- A pitch is a formal presentation in which you ask for something. It is delivered (usually) to potential investors in a startup. A pitch can be customized to various audiences; For example, family & friends, employees, suppliers, trade associations, competitions, investors, grant making organizations.
- No matter to whom you are pitching, you usually need to include references to your problem-solution statement, value proposition, and key features, and how you prioritize that information will change for different audiences.
- The ask in a pitch is the specific amount of money, type of assistance you request, or outcome you are seeking.

Pitching



A business plan presentation should cover five basic areas:

1. Your company and its products and services. The presentation should answer in simple terms the first question that every potential lender and investor has: What does your company do?
2. The problem to be solved, preferably told in a personal way through a compelling story. Is it eliminating the time, expense, and anxiety of waiting for the results of medical tests with a device that instantly reads blood samples? Or making hearing aids more effective at filtering out background noise while enhancing the dominant sound for the user?
3. A description (again in simple terms) of your company's solution to the problem. Ideally, the solution your company has developed is unique and serves as the foundation of your company's competitive edge in the marketplace.

Pitching



A business plan presentation should cover five basic areas:

4. Your company's business model. This part of the presentation explains how your company makes money and includes figures such as revenue per sale, expected gross profit and net profit margins, and other relevant statistics.
 - This is your opportunity to show lenders and investors how your company will produce an attractive payback or payoff.
5. Your company's competitive edge. Your presentation should identify clearly the factors that set your company apart from the competition.

Protecting Your Idea



- Depending on your product, you might need to patent before pitching!
- It is rare for an idea to be completely unique.
 - Most new business ideas are variations of solutions that others have anticipated or even written about, but others have not had the drive, the networking skills, or the fundraising ability of a true entrepreneur. Balance your time wisely between trying to protect your idea and working to develop it

Protecting Your Idea



- **Nondisclosure agreement (NDA).** NDAs carry with them a penalty should the individual disclose what they know of the proprietary information that lies at the heart of your value proposition.
- **A noncompete agreements** in a contract prevents an employee from working for the competition for a specified period of time after working for you.
- **A work-for-hire agreement** between an individual employee and a company states that ownership of innovations belongs to the company, even if an individual makes substantial contributions to the product, service, or process.

Using Feedback to Refine Your Pitch



- Pitching requires you to demonstrate that you have assembled a capable, professional team that can turn an idea into an innovation. Users, partners, investors, and others will offer thoughts on how your product or your organization should change. Investors consider it a warning sign if an entrepreneur cannot handle feedback
- Your venture's development depends on gathering data to find out what customers like and what investors are willing to fund, so you must seek out positive feedback and build on it, but you must also think critically about the positive messages you receive.
- In the short term, you can use feedback to decide which features to focus on early in the venture.

Activity



- You will need to prepare an investor pitch as part of your final group work.
- See the template in eLearning.